

5

More about the Fourth Dimension

Up to this point our discussion of the financial community's appraisal of a stock may have given the impression that this appraisal is nothing more than an evaluation of that particular equity, considered by itself. This is oversimplification. Actually it always results from the blending of three separate appraisals: the current financial-community appraisal of the attractiveness of common stocks as a whole, of the industry of which the particular company is a part, and, finally, of the company itself.

Let us first examine the matter of industry appraisals. Everyone knows that, over long periods of time, there can be a sizable decline in the price-earnings ratio the financial community will pay to participate in an industry as it passes from an early stage when huge markets appear ahead to a much later period where it, in turn, may be threatened by new technologies. Thus, in the early years of the electronics industry, companies making electronic tubes, in that period the fundamental building block of all electronics, sold at very high price-earnings ratios. Then price-earnings ratios shrank drastically as the development of semiconductors steadily narrowed the tube market. Makers of magnetic memory devices have more recently suffered the same fate for the same reason. All this is obvious and thoroughly understood. What is not so obvious or comparably understood is how the image of an industry can rise or fall in financial-community status, not because of such overpowering influences as these but because at a given time the financial community is stressing one particular set of industry background influences rather than another. Yet both sets of background conditions may have been quite valid for some time, and both may give every indication of continuing to be for the reasonable future.

The chemical industry may be cited as an example. From the depths of the Great Depression until the middle 1950s, the shares of the largest U.S. chemical companies sold at quite high price-earnings ratios compared to most other stocks. The financial community's idea of these companies might have been depicted in a cartoon as an endless conveyor belt. At one end were scientists making breathtaking new compounds in test tubes.